

CAPITAL MARKETS

Citi's \$817M CMBS Deal Shows Private Capital Is Underwriting Multifamily Risk Agencies Won't Touch

The largest single-bank multifamily conduit since the GFC reveals where yield is hiding and who is willing to reach for it.

July 17, 2026 · Commercial Observer · 3 min read

A source-grounded Light Tower Insight. The complete note follows.

Citigroup just priced the largest single-bank-contributed, multifamily-only CMBS conduit since the Global Financial Crisis. The deal, Citigroup Commercial Mortgage Trust 2026-MFAM1, totals \$816.9 million across 27 five-year, interest-only loans on 27 properties. Citi originated every loan in the pool.

The headline number is impressive. The revealing number is the leverage.

According to Fitch Ratings, the average loan-to-value ratio on the deal is 123.4 percent. That is 21 percentage points higher than the average for five-year multiborrower CMBS deals rated by Fitch in 2025 and 2026 year-to-date, and nearly 8 points above the average for Freddie Mac K-series deals rated between 2023 and 2026.

The agencies dominate multifamily debt because their cost of capital is structurally lower than any bank or private lender. But they underwrite to a leverage ceiling. Above that ceiling, the borrower needs a different source of funds. Citi saw that gap and built a securitization around it.

The deal is a pure multifamily conduit, meaning every loan in the pool is on a multifamily property. That concentration would have been unusual a decade ago, when conduits mixed office, retail, industrial, and multifamily. Today it makes sense. Multifamily has the most transparent cash flow, the most liquid refinancing market, and the most predictable loss severity in stress. A single-asset-class conduit lets bond buyers underwrite one risk profile instead of five.

The AAA tranche priced at swaps plus 80 basis points, 8 basis points tighter than the last comparable all-multifamily conduit deal, JPMF1 2026-FX1, which priced in May. That tightening suggests bond buyers are comfortable with the collateral quality and the structure, even at elevated leverage. They are being compensated for the risk, and they are accepting it.

Sources familiar with the execution told Commercial Observer that Citi saw a void in the market for medium- to high-leverage loans on high-quality multifamily product. The bank committed fully to the program, holding terms on every loan's execution. That is a meaningful statement. Citi was willing to warehouse the loans and take the execution risk. The market rewarded that conviction with

a tight pricing outcome.

The deal also signals something about the competitive landscape. Stephen Buschbom, Trepp's head of applied research, noted that the share of amortizing loans in agency pools has dropped noticeably over the last two years. That is a sign of a very competitive lending environment. When agencies offer interest-only structures to compete with private capital, the line between agency and non-agency lending blurs. Citi's deal is a reminder that the blurring has limits. The agencies will not underwrite 123 percent LTV. Private capital will.

For borrowers, the implication is straightforward. If your multifamily asset has strong cash flow but needs leverage above the agency ceiling, there is a bid. It comes with a five-year term, interest-only payments, and a cost of capital that the bond market just validated at swaps plus 80 for the AAA piece. The all-in cost for the borrower will be higher than an agency loan, but the proceeds will be larger.

For lenders, the deal is a template. Citi proved that a single bank can originate, warehouse, and securitize a multifamily-only conduit at scale. Other banks with multifamily origination platforms will study the execution. The question is whether the bond market has appetite for more deals at this leverage level, or whether Citi captured a window that will narrow as rates move or credit conditions shift.

For bond buyers, the deal offers yield pickup relative to agency paper, with a structure that concentrates multifamily risk rather than diversifying across property types. That concentration is a feature, not a bug, for investors who want to express a view on multifamily credit without taking office or retail exposure.

The deal is not a sign that multifamily lending is easy. It is a sign that the market is segmenting. Agency capital covers the low-leverage, high-quality tranche. Private capital, through conduits like this one, covers the next layer. The two markets are not competing. They are stacking.

The next test is repeatability. Citi executed once. The question is whether the bond market will

absorb a second deal at similar leverage and similar pricing, or whether the first-mover advantage was real. If the answer is yes, multifamily borrowers with high-leverage needs have a new permanent option. If the answer is no, this deal will be remembered as a clever trade that did not scale.

SOURCES

- Commercial Observer — <https://commercialobserver.com/2026/07/citi-conduit-cmbs/>

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